Practice workbook · Profit maximisation and other business aims

The assumption that firms maximise profit and the alternative aims: sales or revenue maximisation, customer care, charitable work, survival or growth.

12 question parts: 1 worked-example retry and 11 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-06

1. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part e only.

3 (a) Which **one** of the following is a reason why a firm may decide to stay small?

(1)

- ☒ **A** To increase bureaucracy
- ☒ **B** To sell a niche product
- ☒ **C** To spread business risk
- ☒ **D** To take over competitors

(b) The introduction of a minimum wage above the equilibrium wage in a labour market is most likely to

(1)

- ☒ **A** increase quantity of labour demanded and decrease the wage rate
- ☒ **B** increase quantity of labour demanded and increase the wage rate
- ☒ **C** decrease quantity of labour demanded and decrease the wage rate
- ☒ **D** decrease quantity of labour demanded and increase the wage rate

(c) On the diagram below, draw and label economies of scale, diseconomies of scale and the point at which the firm is most efficient.

(3)

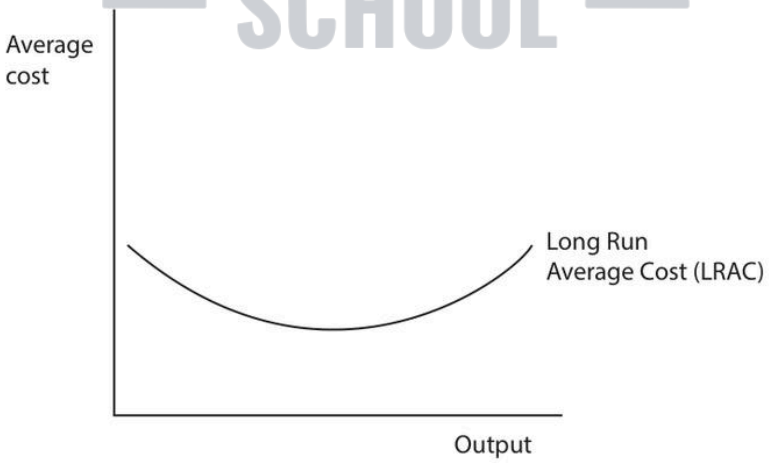


Figure 4

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1. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part e only.

The education system in Japan is one of the best in the world. Primary and secondary education is free, with a typical school day from 08:00 to 15:00 or 16:00, depending on the age of the students.

(Source: adapted from https://www.internations.org/japan-expats/guide/education)

(d) With reference to the data above and your knowledge of economics, analyse why education in Japan may be an external benefit.

(6)

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1. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part e only.

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1. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part e only.

Simona owns a hairdressing business in Romania. She charges low prices and makes no charge when customers arrive late for appointments or make very late cancellations. She thinks customer care is more important than making a profit.

However, some customers have complained at having to wait weeks before an appointment is available. As a result, Simona has lost customers. This has caused financial problems in repaying a loan to the bank.

In response, Simona is considering increasing her prices and charging a fee to those who arrive late or cancel without suitable notice.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Simona of making these changes.

(9)

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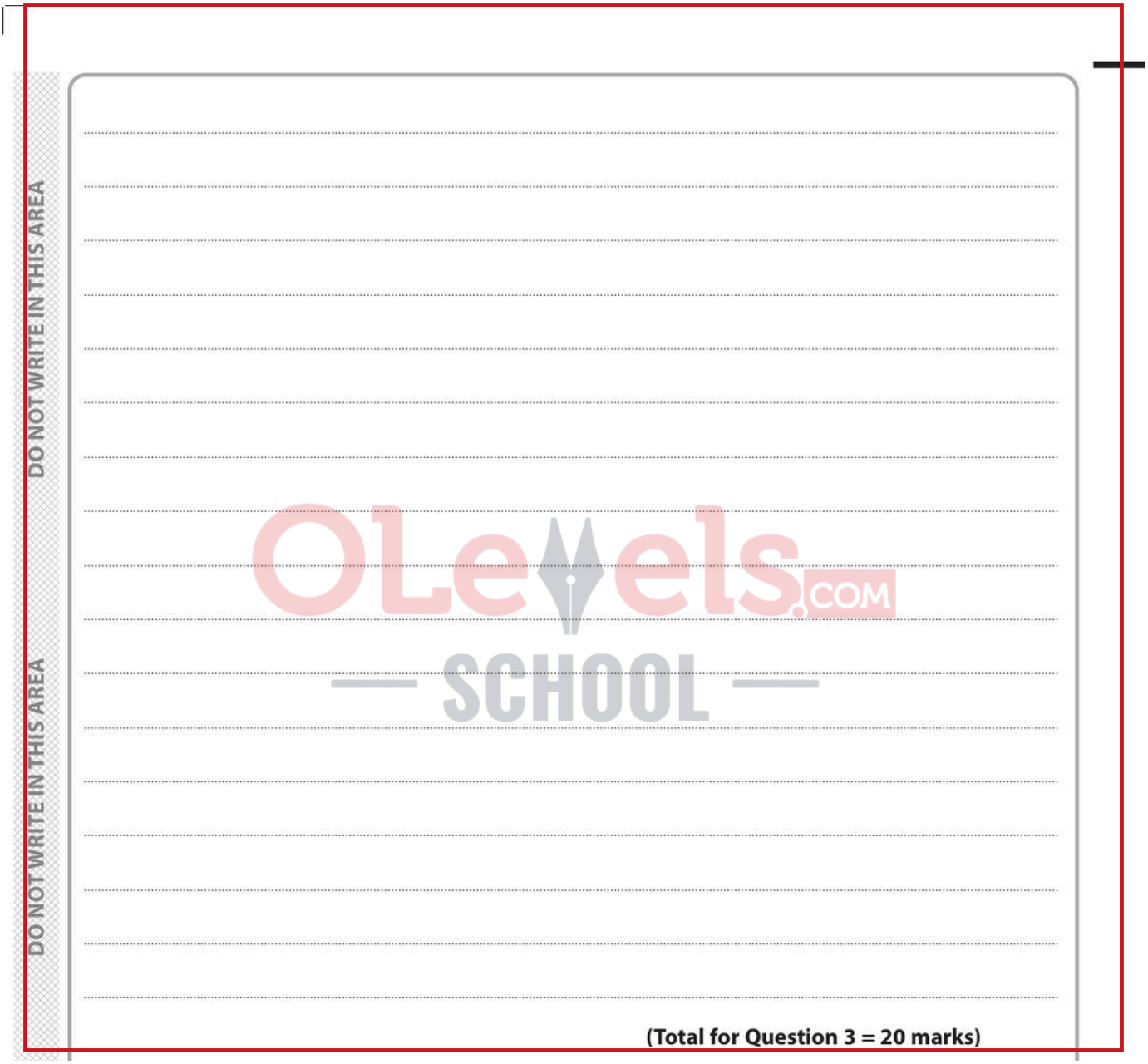
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P 7 3 4 9 8 A 0 1 6 2 4

1. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part e only.



1. Question 3 · part e · 9 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

2 (a) Which **one** of the following might be an aim of a firm in the private sector?

(1)

- ☒ **A** Maximise costs
- ☒ **B** Reduce interest rates
- ☒ **C** Maximise profits
- ☒ **D** Reduce economies of scale

Cyprus has a mixed economy.

(b) Which **one** of the following is most likely to be provided by the public sector in Cyprus?

(1)

- ☒ **A** Cars
- ☒ **B** Roads
- ☒ **C** Driving lessons
- ☒ **D** Petrol

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2. Question 2 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part i · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part i only.

1 (a) Which **one** of the following values shows perfect price inelasticity of supply?

(1)

- ☒ **A** 1.5
- ☒ **B** 1
- ☒ **C** 0.5
- ☒ **D** 0

(b) A firm has total costs of $1 250 000 per month and variable costs of $100 per unit. If it produces 5,000 units, calculate the **total fixed costs** per month for the firm.

(1)

- ☒ **A** $1 750 000
- ☒ **B** $1 250 100
- ☒ **C** $1 249 900
- ☒ **D** $750 000

(c) What is meant by the term supply?

(2)

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3. Question 1 · part i · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part i only.

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(d) State **one** example of an occupation that is in the secondary sector of the economy.

(1)

(e) Define the term labour.

(1)

(f) Calculate the **income elasticity of demand (YED)** for a good if income increases by 25% and quantity demanded increases by 10%. You are advised to show your working.

(2)

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3. Question 1 · part i · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part i only.

(g) Using the diagram below, draw the likely effects of an increase in income on the equilibrium price and quantity for wireless headphones. Label the new curve, the new equilibrium price and quantity.

(3)

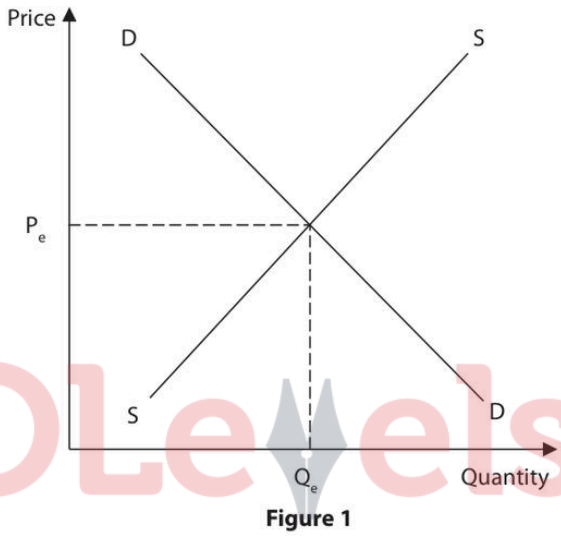


Figure 1

The government of a country has decided to build a new hospital.

(h) Explain **one** possible opportunity cost for the government of this decision.

(3)

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3. Question 1 · part i · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part i only.

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McAfee is a US-based global computer software security company. In 2017, its revenue was over $2.5bn. The company operates a 'fundraising match programme'. This means when one of its 7,600 employees participates in a fundraising activity, such as a walk, run or cycle event, the company will contribute an equal amount. For every $1 raised for charity by an employee, the company will also contribute $1 to the charity, up to a maximum of $1 000 per person.

(Source adapted from: https://doublethedonation.com/tips/companies-that-donate-to-nonprofits/#match)

(i) With reference to the data above and your knowledge of economics, analyse the possible reasons why McAfee chooses not to profit maximise but instead operates the fundraising match programme.

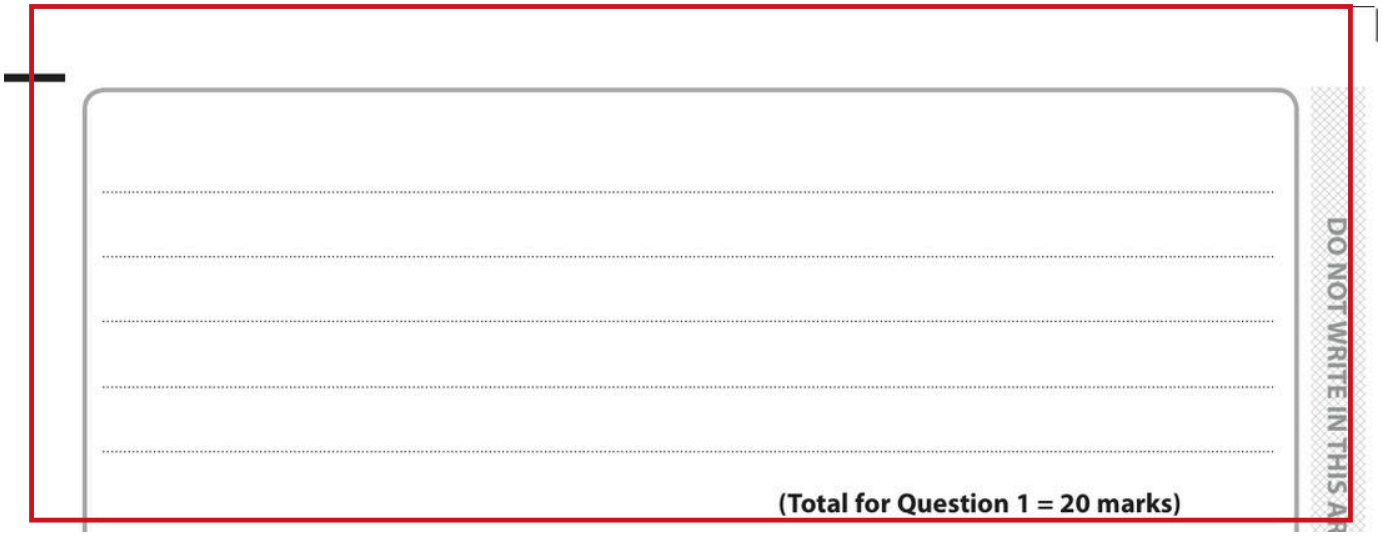
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3. Question 1 · part i · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part i only.



Working and answer

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4. Question 2 · part g · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part g only.

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2 (a) Which **one** of the following is the correct label to replace 'X' on the diagram below?

(1)

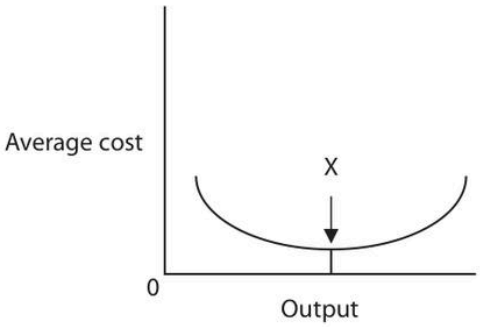


Figure 3

- ☒ **A** Internal economies of scale
- ☒ **B** External economies of scale
- ☒ **C** Total costs
- ☒ **D** Most efficient

(b) Which **one** of the following is an example of derived demand?

(1)

- ☒ **A** Consumer demand for clothes to wear
- ☒ **B** Tourist demand for foreign holidays
- ☒ **C** Producer demand for labour to make goods
- ☒ **D** Student demand for computer games to play

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4. Question 2 · part g · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part g only.

Figure 4 shows some of the production costs in November for a firm manufacturing rugs and carpets in Pakistan.

Production costs	Pakistani Rupee (Rs)
Rent	40 250
Raw materials	20 050
Advertising	10 125
Labour (paid in direct proportion to output)	210 000

Figure 4

(c) Calculate the **total fixed costs** for the firm in November. You are advised to show your working.

(2)

(d) What is meant by the term demand?

(2)

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4. Question 2 · part g · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part g only.

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(e) Describe **one** government policy to deal with negative externalities.

(2)

Irrigation of Scottish farmland was increased during the summer of 2018.

(f) Explain **one** way an increase in irrigation may have affected the productivity of Scottish farmers during the summer of 2018.

(3)

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4. Question 2 · part g · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part g only.

Lanterns is an English café, located just outside a town where there are few job opportunities. It was set up by sisters Jo and Fiona who, instead of aiming to make a profit, wanted to help young people in their local area. All their waiters and waitresses are under 25 and were previously inexperienced and unemployed.

At first, the café was popular but now there are a lot of complaints about the length of time it takes for orders to arrive. Fiona thinks they need to employ experienced waiters and waitresses and change their business aims to maximise their profits.

(g) With reference to the data above and your knowledge of economics, assess whether Lanterns should change their business aims.

(9)

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4. Question 2 · part g · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part g only.



4. Question 2 · part g · 9 marks · Working and answer

Working and answer

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5. Question 1 · part b · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part b only.

1 (a) Which **one** of the following does a point on a production possibility curve (PPC) represent?

(1)

- ☒ **A** Where capital goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Government revenue from production
- ☒ **D** A given amount of resources being fully employed

Andreas is a plumber. Unlike his competitors, he is prepared to work at the weekend. However, he charges customers 50% more for his services at the weekend.

(b) Which **one** of the following describes this economic assumption?

(1)

- ☒ **A** Businesses aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers sometimes copy others' behaviour
- ☒ **D** Governments try to increase the number of days worked

(c) What is meant by the term economies of scale?

(2)

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5. Question 1 · part b · 1 mark · Working and answer

Working and answer

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6. Question 1 · part a · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a reason why firms may not always maximise their profit?

(1)

- ☒ **A** They may minimise total costs
- ☒ **B** They may be able to sell at a high price
- ☒ **C** They may have low fixed costs
- ☒ **D** They may complete charitable work

A product has an income elasticity of demand (YED) of 0.7.

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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6. Question 1 · part a · 1 mark · Working and answer

Working and answer

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7. Question 1 · part h · 3 marks

2023 JAN · Paper 01

Further practice · Attempt part h only.

1 (a) What is the name given to a firm that manufactures cars?

(1)

- ☒ **A** A primary sector firm
- ☒ **B** A secondary sector firm
- ☒ **C** A tertiary sector firm
- ☒ **D** A service sector firm

A firm that employs 540 workers has a total monthly output of 27,000 units.

(b) What is the monthly labour productivity of the firm?

(1)

- ☒ **A** 0.02 units
- ☒ **B** 50 units
- ☒ **C** 27,540 units
- ☒ **D** 14,580,000 units

(c) What is meant by the term division of labour?

(2)

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7. Question 1 · part h · 3 marks

2023 JAN · Paper 01

Further practice · Attempt part h only.

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(d) State **one** factor of production.

(1)

(e) Define the term public sector.

(1)

Yusef paints portraits of tourists who visit his home town. He recently reduced the price he charges by 2.5% and quantity demanded increased by 3.2%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Yusef's portraits. You are advised to show your working.

(2)

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7. Question 1 · part h · 3 marks

2023 JAN · Paper 01

Further practice · Attempt part h only.

Figure 1 shows the market for trainers.

(g) Using the diagram below, draw the likely effects on the market after a popular celebrity was seen wearing trainers. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

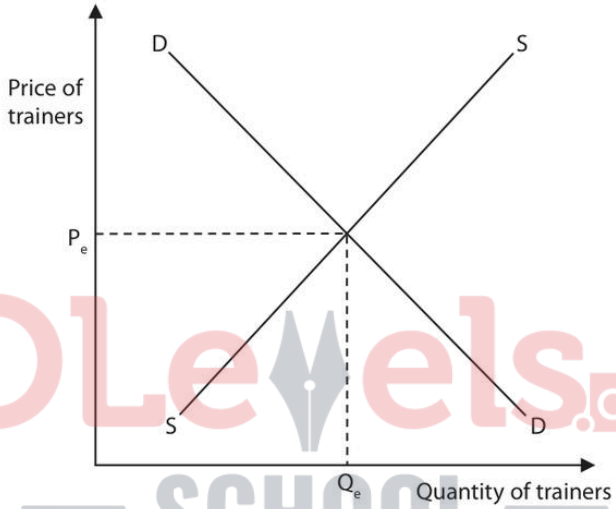


Figure 1

Spice Cottage is a new food producing business. Its prices are lower than market research suggests consumers would be willing to pay.

(h) Explain **one** reason why Spice Cottage may not aim to maximise its profit.

(3)

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7. Question 1 · part h · 3 marks

2023 JAN · Paper 01

Further practice · Attempt part h only.

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Megabus provides cheap bus travel in Canada, the US and the UK. Research showed that if incomes rose by 10% then the quantity demanded for bus travel would fall by 15%.

(i) With reference to the data above and your knowledge of economics, analyse why this knowledge could be useful to a firm such as Megabus.

(6)

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7. Question 1 · part h · 3 marks · Working and answer

Working and answer

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8. Question 1 · part h · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

1 (a) For which **one** of the following will demand increase when incomes decrease?

(1)

- ☒ **A** Capital good
- ☒ **B** Inferior good
- ☒ **C** Luxury good
- ☒ **D** Normal good

A firm's monthly total costs are $2 640 and monthly fixed costs are $900.

(b) Which **one** of the following equals $1 740?

(1)

- ☒ **A** Price
- ☒ **B** Profit
- ☒ **C** Average total costs
- ☒ **D** Total variable costs

(c) What is meant by the term division of labour?

(2)

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8. Question 1 · part h · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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(d) State **one** reason why a supply curve will shift to the left.

(1)

(e) Define the term competition.

(1)

A firm sells its products at a price of € 75 per unit and has a cost per unit of € 35.

(f) Calculate the **total revenue** for the firm when its monthly sales are 250 units.
You are advised to show your working.

(2)

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8. Question 1 · part h · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

Figure 1 shows the market for mangoes.

(g) Using the diagram below, draw the likely effects on the market for mangoes after a study shows that eating them leads to an improvement in health. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

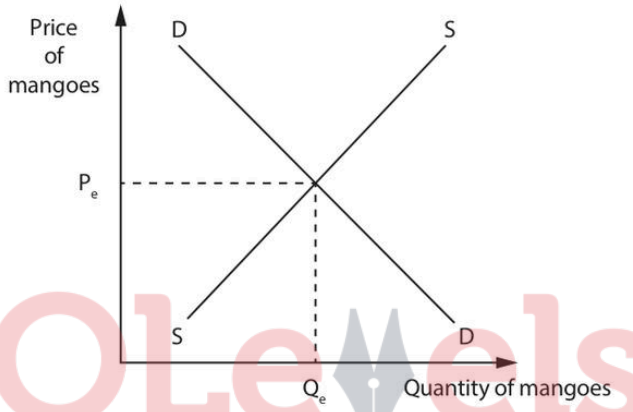


Figure 1

Christine runs a small cafe in New Zealand. She has many regular customers and has a reputation for serving large-sized meals, even though it means she makes less profit on each meal.

(h) Explain **one** possible reason why Christine serves large-sized meals.

(3)

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8. Question 1 · part h · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

There has been a decline in employment in the secondary sector in developed countries such as Germany, the UK and the US. Goods are now often manufactured in low-cost Asian countries. At the same time, there has been a rise in the number of people employed in the tertiary sector in developed countries.

(i) With reference to the data above and your knowledge of economics, analyse why there has been this shift in employment in developed countries.

(6)

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8. Question 1 · part h · 3 marks · Working and answer

Working and answer

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9. Question 1 · part i · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

1 (a) Which **one** of the following values shows perfectly price inelastic supply?

(1)

- ☒ **A** 0
- ☒ **B** 0.5
- ☒ **C** 1
- ☒ **D** 2

(b) As a result of government policy, a firm had a decrease in its total costs of $200 each month. Which **one** of the following is the most likely type of government policy to produce this decrease in costs?

(1)

- ☒ **A** Fine
- ☒ **B** Regulation
- ☒ **C** Increased subsidy
- ☒ **D** Increased taxation

(c) What is meant by the term private sector?

(2)

(d) State **one** factor that may affect the supply of labour.

(1)

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9. Question 1 · part i · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

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(e) Define the term government.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 6.2% and quantity demanded increases by 1.7%. You are advised to show your working.

(2)

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9. Question 1 · part i · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

Figure 1 shows the market for tennis balls.

(g) Using the diagram below, draw the likely effects on the market for tennis balls after a fall in the price of tennis rackets. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

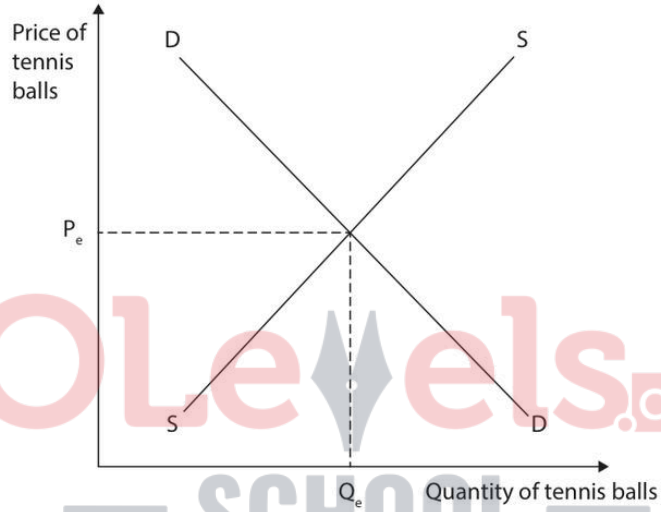


Figure 1

A firm has decided to purchase a new delivery vehicle.

(h) Explain **one** possible opportunity cost for the firm of this decision.

(3)

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9. Question 1 · part i · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

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Jags owns a café in a small town in Malaysia. During a recent school holiday, she offered a free lunch to each child visiting the café with a paying adult. This was welcomed by customers who have had problems in the last few months due to the rising cost of living.

(i) With reference to the data above and your knowledge of economics, analyse a possible reason why Jags chose not to maximise profit.

(6)

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9. Question 1 · part i · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.



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9. Question 1 · part i · 6 marks · Working and answer

Working and answer

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10. Question 2 · part f · 3 marks

2024 JUN · Paper 01

Further practice · Attempt part f only.

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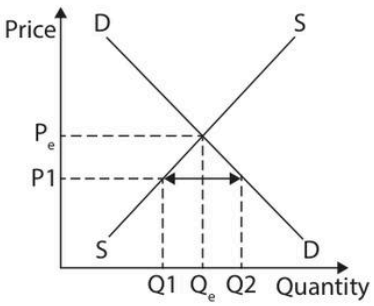
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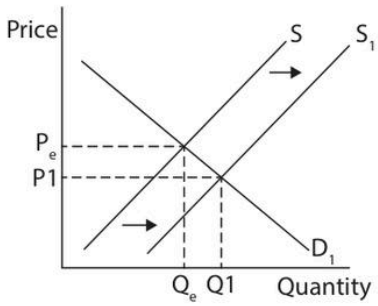
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

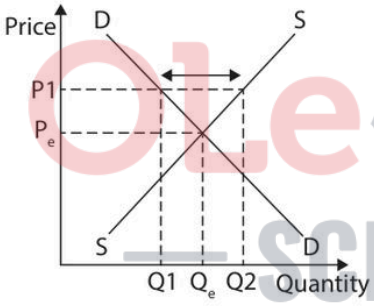
☒ **A**



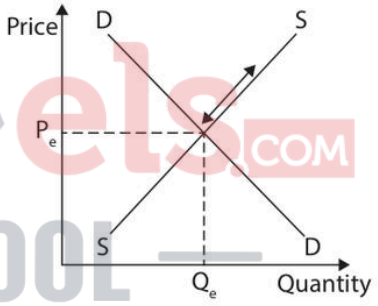
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of a monopoly?

(1)

☒ **A** Consumers have a choice of firms

☒ **B** There are many firms competing in the market

☒ **C** The firm is a price-maker

☒ **D** There are low barriers to entry

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10. Question 2 · part f · 3 marks

2024 JUN · Paper 01

Further practice · Attempt part f only.

(c) Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is –1.9 and the price falls by 10%. You are advised to show your working.

(2)

(d) What is meant by the term social benefits?

(2)

(e) Describe **one** feature of an oligopoly.

(2)

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P 7 2 9 6 7 A 0 8 2 4

10. Question 2 · part f · 3 marks

2024 JUN · Paper 01

Further practice · Attempt part f only.

Hanan is the owner of a shop and wants to maximise profits. However, Mostafa is the manager of the shop and wants to offer customers a 10% discount for making purchases in large quantities.

(f) Explain **one** reason why Mostafa may want to offer this discount rather than to maximise profit.

(3)

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10. Question 2 · part f · 3 marks

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Further practice · Attempt part f only.

A ban on single-use plastic bags has been in place in Kenya for more than five years. It has led to a cleaner environment, as plastic bags were causing visual pollution and endangering the lives of livestock that consumed them. However, the ban has not been effective in totally removing the problem.

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of government regulation when dealing with externalities such as pollution.

(9)

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10. Question 2 · part f · 3 marks · Working and answer

Working and answer

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11. Question 1 · part b · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

1 (a) Which **one** of the following can represent a point on a production possibility curve (PPC)?

(1)

- ☒ **A** Where consumer goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Total revenue from production
- ☒ **D** Production which is obtainable

On one day a month, a firm charges each customer a price of $10 for providing one hour of gardening services. The cost to the firm for providing the service to each customer is $15.

(b) Which **one** of the following describes why the firm might do this?

(1)

- ☒ **A** Producers aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers sometimes copy others' behaviour

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(c) What is meant by the term economies of scale?

(2)

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11. Question 1 · part b · 1 mark · Working and answer

Working and answer

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12. Question 3 · part e · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

3 (a) Which **one** of the following may be a reason why a firm stays small?

(1)

- ☒ **A** Ability to take over competitors
- ☒ **B** Access to many sources of finance
- ☒ **C** Ability to spread risk
- ☒ **D** Aims of the entrepreneur

(b) Which **one** of the following describes a price elasticity of supply (PES) of 1.5?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

Figure 5 shows the labour market for a country.

(c) Using the diagram below, draw the effect of a decrease in the school-leaving age on the labour market in this country. Label the new curve, the new equilibrium wage rate and the new quantity of workers.

(3)

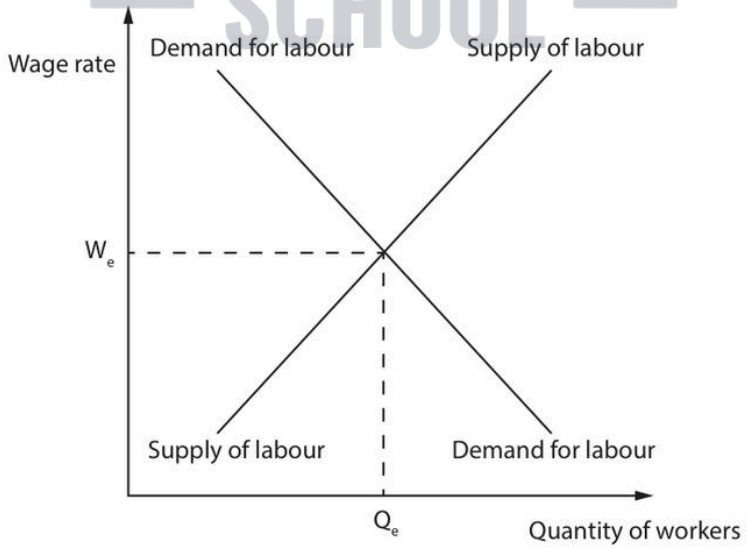


Figure 5

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12. Question 3 · part e · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

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The price of olive oil peaked in the summer of 2024, averaging €10 000 per tonne. It is expected to fall to between €4 000 and €5 000 per tonne in 2025.

Some of the main areas where olive oil is produced are located in Greece, Spain and Tunisia. All are set for improved harvests of olives, after years of heatwaves and droughts causing a fall in the harvest. Better weather means Greece is expected to produce 230,000 tonnes in the 2025 season, up from 130,000 tonnes the previous year. While Spain and Tunisia are also forecasting large increases in production.

(d) With reference to the data above and your knowledge of economics, analyse how natural factors, such as favourable weather conditions, may affect the market for olive oil in 2025.

(6)

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12. Question 3 · part e · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

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12. Question 3 · part e · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

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Fitnation is a fitness centre in Almaty, Kazakhstan. Boxing is one of the many activities provided by the centre. Fitnation aims to complete charitable work by offering city residents access to the boxing facilities and coaching at a discounted price on one day a week. This makes boxing more accessible to many of the population who may otherwise not have been able to afford it.

However, it means the facilities are very busy on this day, reducing the availability for the centre members who have paid the full price of between $25 and $50 for a month of membership.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Fitnation of offering the discounted price.

(9)

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12. Question 3 · part e · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

12. Question 3 · part e · 9 marks · Working and answer

Working and answer

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